Example Industrial Inc. (EXMP)

Equity research · Intrinsic valuation (FCFF DCF) · 11 Oct 2026

Recommendation	Intrinsic value / share	Share price	Upside / (downside)
BUY 15% band + simulation agreement	**USD 40.11** Base case	**USD 31.50** At time of run	**+27.3%** Value vs price
Monte Carlo 5th-95th	**P(value > price)**	**Cost of capital**	**Terminal value share**
28 – 56 10,000 runs	**87%** Share of simulations	**8.8%** Terminal 8.4%	**58%** Of operating value

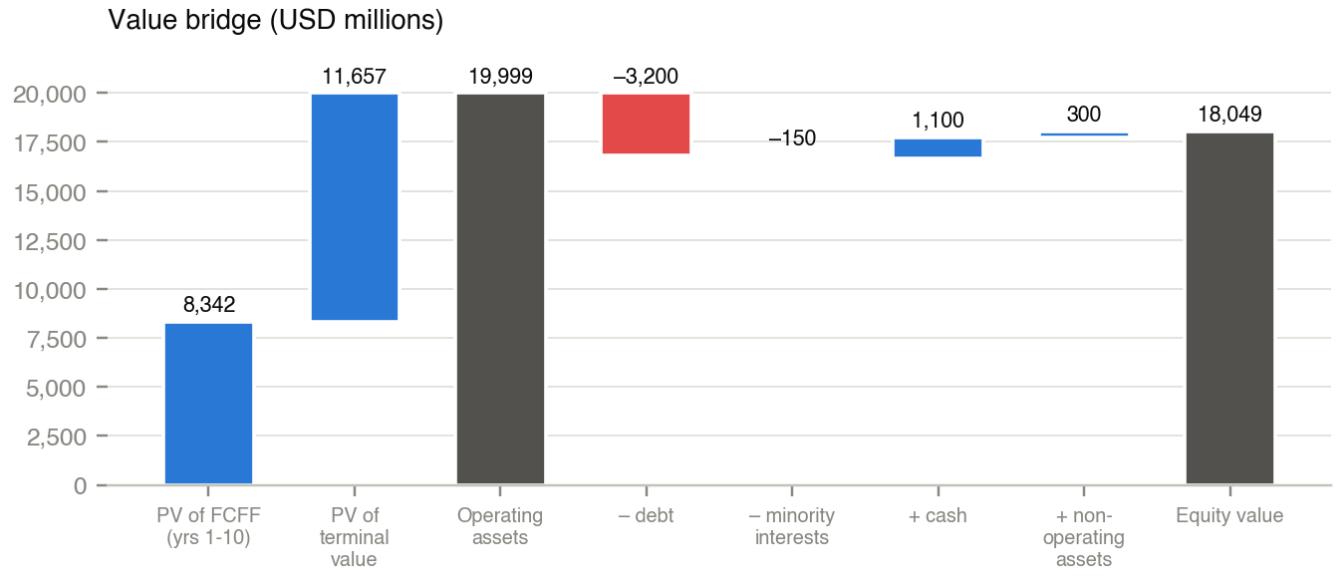
Investment view

BUY. Intrinsic value is 27% above the market price and 87% of simulations value the shares above it.

The valuation assumes revenue growing 6.0% next year and 5.0% a year in years 2-5, fading to 4.2% in perpetuity; operating margin moving from 13.0% today to 15.0% by year 5; growth funded by 1.60 of revenue per USD1 of capital invested; and a cost of capital of 8.8% falling to 8.4% as the firm matures. The terminal value accounts for 58% of operating asset value.

Key drivers

Driver	Assumption	Source
Revenue growth, year 1	6.0%	Input file
Revenue growth, years 2-5	5.0%	Input file
Operating margin, year 1	13.0%	Input file
Target operating margin	15.0% by yr 5	Input file
Sales-to-capital (yrs 1-5 / 6-10)	1.60 / 1.60	Input file
Tax rate (effective → marginal)	21.0% → 25.0%	Input file
Cost of capital (initial → terminal)	8.8% → 8.4%	Input file
Risk-free rate / terminal growth	4.20% / 4.20%	Input file
Terminal return on capital	8.4%	Input file

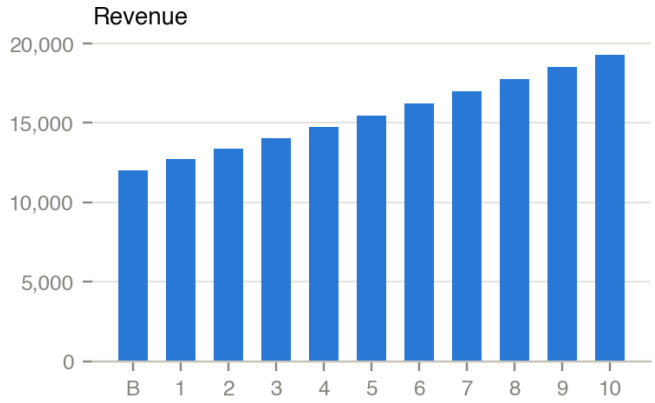


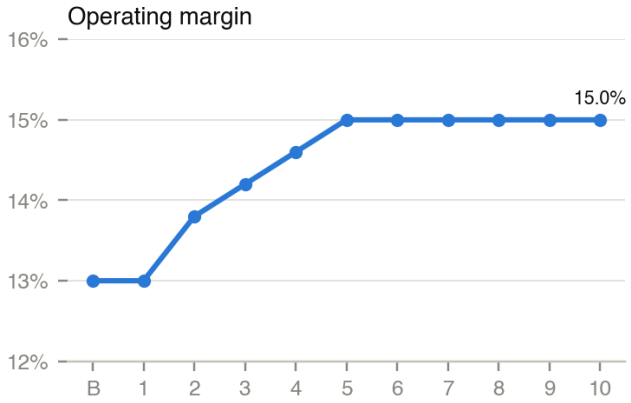
Value per share = 18,049 ÷ 450.0m shares = **USD 40.11**

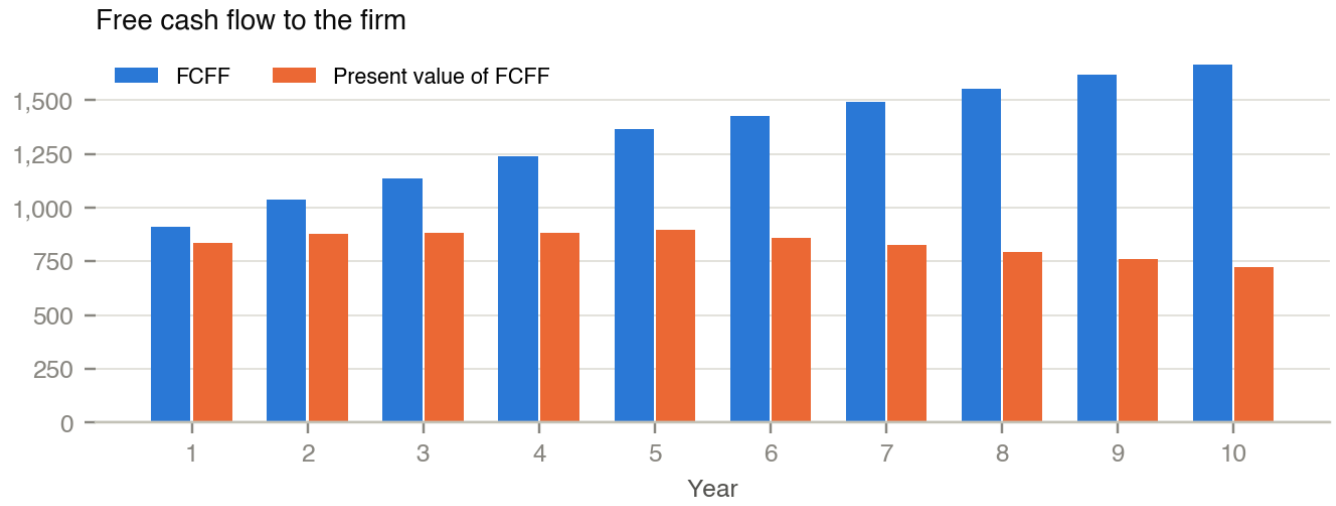
Ten-year projection (USD millions)

	Base	1	2	3	4	5	6	7	8	9	10	Term.
Revenue growth		6.0%	5.0%	5.0%	5.0%	5.0%	4.8%	4.7%	4.5%	4.4%	4.2%	4.2%
Revenue	12,000	12,720	13,356	14,024	14,725	15,461	16,210	16,968	17,735	18,508	19,286	20,096
Operating margin	13.0%	13.0%	13.8%	14.2%	14.6%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
EBIT	1,560	1,654	1,843	1,991	2,150	2,319	2,431	2,545	2,660	2,776	2,893	3,014
Tax rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.8%	22.6%	23.4%	24.2%	25.0%	25.0%
EBIT(1-t)		1,306	1,456	1,573	1,698	1,832	1,901	1,970	2,038	2,104	2,170	2,261
Reinvestment		398	417	438	460	468	474	479	483	486	506	1,126
FCFF		**909**	**1,039**	**1,135**	**1,238**	**1,364**	**1,427**	**1,491**	**1,554**	**1,619**	**1,663**	**1,134**
Cost of capital		8.8%	8.8%	8.8%	8.8%	8.8%	8.7%	8.7%	8.6%	8.5%	8.4%	8.4%
Discount factor		0.919	0.845	0.776	0.714	0.656	0.603	0.555	0.511	0.471	0.435	
PV(FCFF)		835	877	881	884	895	861	828	795	763	723	
ROIC	16.4%	17.4%	18.4%	18.9%	19.4%	19.9%	19.6%	19.4%	19.2%	18.9%	18.7%	8.4%

Summary	USD millions
Terminal value (year 11 FCFF ÷ (WACC – g))	26,818
PV of terminal value	11,657
PV of FCFF, years 1-10	8,342
Value of operating assets	19,999
Equity value attributable to common shares	18,049
Value per share	**40.11**

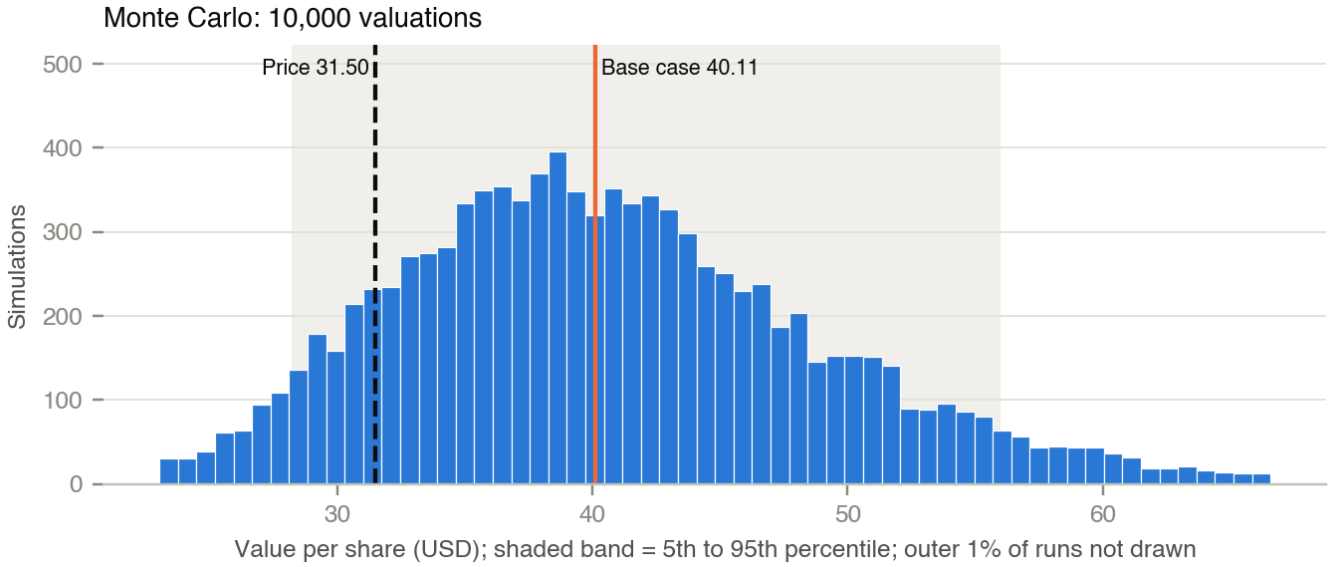






Risk: how wrong could this be?

Each simulation redraws revenue growth (years 2-5), the target margin (correlated with growth), the initial cost of capital and the sales-to-capital ratio, then reruns the full ten-year model. The spread of outcomes is the honest answer to 'what is it worth?'.

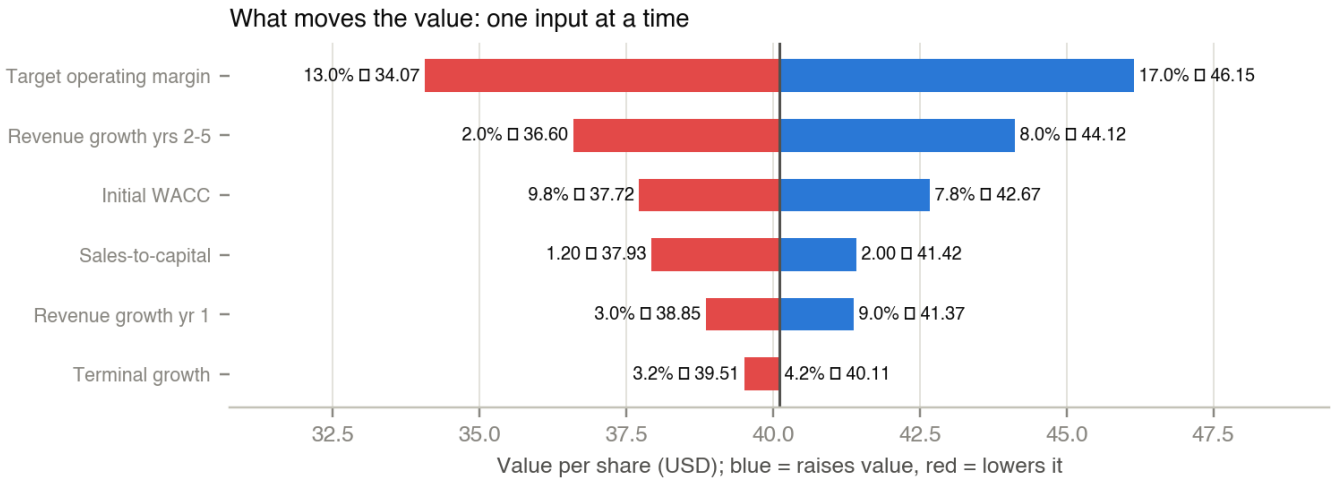


Mean	Median	Std dev	5th pct	25th pct	75th pct	95th pct	P(value > price)
40.67	39.86	8.49	28.26	34.77	45.72	55.91	87%

Sensitivity: value per share (USD) by cost of capital and terminal growth

WACC ↓ / g →	3.20%	3.70%	4.20%	4.70%	5.20%
7.80%	46.58	46.98	47.39	47.80	48.22
8.30%	42.81	43.16	43.51	43.86	44.22
8.80%	39.51	39.81	40.11	40.41	40.72
9.30%	36.60	36.85	37.11	37.38	37.64
9.80%	34.01	34.23	34.45	34.68	34.91

Blue cells are above the current price (USD 31.50), red below; the boxed cell is the base case. The WACC shift moves the whole cost-of-capital path. Damodaran caps terminal growth at the risk-free rate, so columns to the right of the base are deliberately aggressive. Terminal growth barely moves the value because the terminal return on capital equals the cost of capital: growth that earns exactly its cost of capital creates no value.



Sanity checks

	Check
OK	Terminal growth (4.20%) is at or below the risk-free rate (4.20%); no firm can outgrow the economy forever.
OK	Terminal ROC (8.43%) vs terminal WACC (8.43%): growth is value-neutral or better in steady state.
OK	Terminal value is 58% of operating value.
OK	0 of 10 projected years have negative FCFF.
OK	Implied year-10 ROIC is 18.7% (check the sales-to-capital ratio if this looks implausible).
OK	Revenue grows 1.6x over ten years.

Methodology

A ten-year free-cash-flow-to-the-firm model following the structure of Aswath Damodaran's *fcffsimpleginzu* spreadsheet. Revenue grows at a year-1 rate, then a years 2-5 rate, then fades linearly to the terminal rate. The operating margin converges linearly to a target. Taxes move from the effective to the marginal rate over years 6-10, with operating losses carried forward. Reinvestment is the change in revenue divided by the sales-to-capital ratio, so growth always has a cost. Cash flows are discounted at a cost of capital that drifts toward a mature-firm rate; the terminal value assumes reinvestment of g ÷ ROC, so stable growth is only valuable if returns exceed the cost of capital. Operating value is bridged to equity by subtracting debt and minority interests and adding cash and non-operating assets.

Data notes

• All inputs read from sample_company.json.

Prepared with an open-source Python DCF engine for educational purposes. Not investment advice. Inputs are estimates and the output is only as good as the story behind them.